

Retail Research	IPO Note
Sector: Trading & Distribution	Price Band (Rs): 94 - 99
23 rd September 2025	Recommendation: AVOID

BMW Ventures Ltd.

Company Overview:

BMW Ventures Ltd. (BMWV) is engaged in trading/distribution of steel products, tractor engines and spare parts; manufacturing of PVC pipes and roll forming; and fabrication of pre-engineered buildings (PEB) and steel girders. The company specializes in the distribution of long and flat steel products across Bihar, India. As of Mar'25, the company's dealer network comprised of 1,299 dealers spanning across 29 districts (out of 38 districts) in Bihar.

Key Highlights:

1. Selling & Distribution network: The company engages in the marketing, sales and distribution of an extensive product portfolio to a wide customer base located in Bihar, India. BMWV's products are actively promoted and sold within the state of Bihar and the company has successfully established a sales network in the domestic markets. The company has adopted a dual approach involving direct engagement with its customers and collaboration with dealers. As of Mar'24, the marketing activities were supported by a team of 124 employees.

2. Market position: The company has a strong market leadership position in the trading of TMT Bars and other allied steel products in the industry. As of FY24, the company contributed ~19% of TMT bars market in the state of Bihar, while the balance was occupied by distributors of other brands such as Kamdhenu, Balmukund, Captain, etc.

3. Focus to increase distribution of steel products in Bihar: The company intends to increase the size of its distribution where it maintains an advantage as a sole distributor of Primary Supplier in the state of Bihar. The company aims to achieve this by increasing the distribution network and reaching other districts of Bihar as presently it caters to 29 districts out of 38 districts in the state of Bihar.

Industry Outlook: Bihar's steel demand is projected to grow at a CAGR of ~8.5% - 9.5% between FY24 and FY28 to reach 2.1 – 2.2 million tonne per annum.

Key Risks: The company's business and profitability are substantially dependent on cost of steel, and thus disruption to the timely and adequate supply of steel, or volatility in the prices of steel may adversely impact its business. Additionally, as of FY25, BMWV's top supplier accounts for ~96% of the company's total purchases. Thus, decrease in demand for the products manufactured by the said supplier or non-renewal of agreement may result in adverse impact on operations.

View & Valuation: BMW derives ~98% of its revenues from distribution of steel products in the state of Bihar. The company had a strong market leadership of ~19% in the TMT bars segment in Bihar during FY24. Looking at the financial growth track record of BMWV, its Revenue/PAT has shown muted CAGR of 1.2%/0.3% between FY23-25. D/E is 2.0x as of FY25, however the same is expected to reduce to <1.0x post issue resulting in improved profitability. Operating cash flows have also seen improvement in FY25. At the upper price band of Rs 99, the company is valued at post issue capital P/E and EV/EBITDA multiple of 26.2x and 12.7x respectively. Considering the expensive valuation, in conjunction with the risk factors mentioned above, we recommend investors to AVOID the issue.

Issue Details	
Date of Opening	24 th September 2025
Date of Closing	26 th September 2025
Price Band (Rs)	94 – 99
Fresh Issue (No. of shares)	2,34,00,000
Issue Size (Rs cr)	231.7 @ upper band
Issue Size (No. of shares)	2,34,00,000
Face Value (Rs)	10.0
Post Issue Market Cap (Rs cr)	815 – 858
BRLMs	Sarthi Capital Advisors Pvt Ltd
Registrar	Cameo Corporate Services Ltd.
Bid Lot	151 shares and in multiples thereof
QIB shares	50%
Retail shares	35%
NIB shares	15%

Objects of Issue	
	Estimated utilization from net proceeds (Rs cr)
Repayment/pre-payment, in full or in part, of certain outstanding borrowings availed by the company	173.8
General corporate purposes*	-
Net proceeds from fresh issue*	-

**To be finalised upon determination of the Issue Price and updated in the Prospectus prior to filing with the RoC. The amount utilised for general corporate purposes shall not exceed 25% of the Gross Proceeds.*

Shareholding Pattern		
Pre-Issue	No. of Shares	%
Promoter & Promoter Group	6,33,15,000	100.0
Public & Others	-	-
Total	6,33,15,000	100.0

Post Issue @Upper Price Band	No. of Shares	%
Promoter & Promoter Group	6,33,15,000	73.0
Public & Others	2,34,00,000	27.0
Total	8,67,15,000	100.0

Source: RHP, SSL Research

Financial Overview

Particulars (Rs cr)	FY23	FY24	FY25	FY23-FY25 CAGR (%)
Revenue	2,015.1	1,938.2	2,062.0	1.2
YoY (%)	-	(3.8)	6.4	-
EBITDA	64.8	68.7	82.1	12.5
YoY (%)	-	6.0	19.5	-
PAT	32.7	29.9	32.8	0.3
YoY (%)	-	(8.3)	9.6	-
EBITDA Margin (%)	3.2	3.5	4.0	-
PAT Margin (%)	1.6	1.5	1.6	-
ROE (%)	20.9	16.0	15.6	-
ROCE (%)	14.5	11.7	12.9	-
D/E (x)	1.8	2.1	2.0	-
P/E (x)	19.2	20.9	19.1	-
EV/EBITDA (x)	17.6	18.2	15.5	-
CFO	(83.5)	(53.0)	50.2	-
CFI	(21.2)	(26.5)	(24.1)	-
CFF	99.1	79.8	(14.2)	-
FCF	(104.5)	(80.0)	26.8	-

Source: RHP, SSL Research

Peer Comparison – FY25

Particulars (Rs cr)	BMW Ventures Ltd.	Shiv Aum Steels Ltd.*
CMP (Rs @ UB)	99	297
Mkt Cap (@ UB)	858	404
Revenue	2,062	555
EBITDA	82	15
PAT	33	10
EBITDA Margin (%)	4.0	2.7
PAT Margin (%)	1.6	1.8
RoE (%)	7.4	8.4
P/E (x)	26.2	41.4
EV/EBITDA (x)	12.7	32.7
P/Sales (x)	0.4	0.7

Source: RHP, SSL Research.

*Shiv Aum Steels Ltd. is listed on the NSE SME platform.

For BMW Ventures Ltd, financials based on FY25 data and the Market Cap, EV/EBITDA (x), P/Sales, P/E (x) and RoE (%) are calculated on post-issue equity capital at the upper price band.

CMP of peer companies is as of 22nd September, 2025.

SBICAP Securities Limited

(CIN): U65999MH2005PLC155485 | Research Analyst Registration No INH000000602

SEBI Registration No.: Stock Broker: INZ000200032 | CDSL: IN-DP-314-2017 | NSDL: IN-DP-NSDL-369-2014 | Research Analyst: INH000000602

IRDA/RW/IR2/2015/081 | IRDA/RW/IR1/2016/041 | IRDA: CA0103

Registered & Corporate Office: Marathon Futorex, A Wing, 12th Floor, N. M. Joshi Marg, Lower Parel, Mumbai-400013.

For any information contact us:

022-6854 5555**E-mail: helpdesk@sbicapsec.com | Web: www.sbisecurities.in****DISCLOSURES & DISCLAIMERS:**

Analyst Certification: The views expressed in this research report ("Report") accurately reflect the personal views of the research analysts ("Analysts") employed by SBICAP Securities Limited (SSL) about any and all of the subject issuer(s) or company(ies) or securities. This report has been prepared based upon information available to the public and sources, believed to be reliable. I/We also certify that no part of my/our compensation was, is, or will be directly or indirectly related to the specific recommendation(s) or view(s) in this report.

The Analysts engaged in preparation of this Report or his/her relative:-

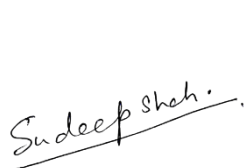
- (a) do not have any financial interests in the subject company mentioned in this Report; (b) do not own 1 or more of the equity securities of the subject company mentioned in the report as of the last day of the month preceding the publication of the research report; (c) do not have any material conflict of interest at the time of publication of the Report.

The Analysts engaged in preparation of this Report:-

- (a) have not received any compensation from the subject company in the past twelve months; (b) have not managed or co-managed public offering of securities for the subject company in the past twelve months; (c) have not received any compensation for investment banking or merchant banking or brokerage services from the subject company in the past twelve months; (d) have not received any compensation for products or services other than investment banking or merchant banking or brokerage services from the subject company in the past twelve months; (e) has not received any compensation or other benefits from the subject company or third party in connection with the Report; (f) has not served as an officer, director or employee of the subject company; (g) is not engaged in market making activity for the subject company.

Name	Qualification	Designation
Sudeep Shah	MMS-Finance	VP- Technical & Derivative Research
Sunny Agrawal	B.E, MBA (Finance)	DVP - Fundamental Research
Rajesh Gupta	PGDBM (Finance), MA (Bus. Eco)	AVP - Fundamental Research
Monica Chauhan	C.A.	Research Analyst - Equity Fundamentals
Harsh Vasa	CA	Research Analyst - Equity Fundamentals
Sumeet Shah	B.E., CFA	Research Analyst - Equity Fundamentals
Sweta Padhi	MBA (Finance)	Research Analyst - Equity Fundamentals
Uday Chandgothia	B-Tech, MBA (Finance)	Research Associate - Equity Fundamentals
Arnav Sane	BMS (Finance)	Research Associate - Equity Fundamentals
Shubham Purohit	BMS (Finance)	Research Associate - Equity Fundamentals
Vinit Mishra	B.Com	Research Associate - Equity Fundamentals
Gautam Updhyaya	MBA (Finance)	Research Analyst - Equity Derivatives
Vinayak Gangule	BE (IT)	Research Analyst - Equity Technicals
Ashwin Ramani	B.Com	Research Analyst- Equity Technicals
Sagar Peswani	B.Tech (ECE)	Research Associate - Equity Technicals
Kalpesh Mangade	B.Com	MIS Analyst - Retail Research

For other Disclosures please visit: https://bit.ly/R_disclaimer02

**Sudeep Shah**

VP – Technical & Derivative Research

**Sunny Agrawal**

DVP – Fundamental Research